Oklahoma Forced Pooling

The Corporation Commission Pooling Process · 52 O.S. § 87.1

What pooling is

Oklahoma spacing rules generally allow only one well to be drilled and produced from a drilling and spacing unit until additional wells are authorized. Before an operator can drill, it has to bring the other owners in the unit into the well, either by lease or by joint operating agreement. When one or more owners will not lease and will not voluntarily join, the operator asks the Corporation Commission to force pool the unit. A pooling order compels every named owner either to participate in the well or to take a cash settlement, so a small holdout cannot block development. The authority is 52 O.S. § 87.1, and the procedure is set by the Commission's Oil and Gas Conservation rules in OAC 165:5 (pooling at 165:5-7-7, horizontal wells at 165:5-15-3).

Pooling follows spacing. A drilling and spacing unit has to exist first, or be applied for at the same time, because the pooling order distributes costs and revenue across the acreage in that unit.

Before filing

The proposed operator has to make a good faith effort to lease or reach agreement with each owner it intends to pool. The Commission expects a bona fide offer to have been made before the application is heard. The applicant also develops the drilling and completion cost figures and the fair market value of the mineral interest, which it supports by testimony at the hearing.

The process

Step	What happens
Application filed	The operator files a pooling application with the Commission and names every respondent owner on Exhibit A. The application identifies the unit, the common source of supply, and the relief requested.
Notice	Respondents are served by mail, and notice is published, both within the time the rules require before the hearing. Owners who cannot be located are covered by publication and by an inquiry into the sufficiency of the search.
Hearing	An Administrative Law Judge hears the application, confirms notice was proper, and takes testimony on cost, on fair market value drawn from recent lease transactions in and around the unit, and on any owner's objection.
Pooling order	The Commission issues an order that fixes the election options, the amounts, and the deadlines. The order binds every named owner whether or not they appeared.
Election	Each pooled owner elects one option within the time set in the order, commonly twenty days from the date of the order. An owner who does not elect is bound by the default the order specifies.

Step	What happens
Payment	Cash amounts owed to owners who take a bonus option are tendered within the window the order sets, commonly within a few weeks of the order.
Appeal	A party who objects may seek review by a Commission referee, then by the Commission sitting en banc, and ultimately by appeal to the Oklahoma Supreme Court.

Election options in a pooling order

A pooling order gives each pooled owner a choice between joining the well and being cashed out. The exact options and dollar figures are set in each order. They usually look like this.

Option	What the owner gets
Participate	The owner joins the well as a working interest owner, pays a proportionate share of drilling and completion costs, and keeps a full working interest share of production. This is the option that keeps the upside, and the risk.
Highest bonus, lowest royalty	A larger cash bonus per net mineral acre paired with the lowest royalty offered in the order. The owner is treated as leased at that royalty and takes no part in costs.
Higher royalty, little or no bonus	A larger royalty, typically with a smaller cash bonus or none. The owner again takes no part in costs. The order sets each royalty tier and the bonus that goes with it.
No election	An owner who does not elect within the deadline is deemed to have accepted the option the order names as the default, usually the lowest cash bonus at the base royalty. The owner does not get to participate after the deadline passes.

Key terms

Term	Meaning
Drilling and spacing unit	The tract the Commission establishes as the area to be developed by a well for a common source of supply. Costs and revenue in a pooling order are shared across this unit.
Respondent / Exhibit A	Every owner the operator seeks to pool is a respondent, named on the exhibit attached to the application. If an owner is left off, the order does not bind that owner's interest.
Administrative Law Judge	The Commission hearing officer who takes evidence on the application and recommends the order.
Participate / carried	To participate is to pay costs and hold a working interest. An owner who does not participate is carried, meaning cashed out under a bonus and royalty option instead.

Term	Meaning
Force pooled	Bound by the order without having signed a lease. A force pooled owner still owns the interest; the order fixes how that interest is paid.

Notes for title work

Topic	Note
The order is a title instrument	A pooling order affects the ownership and the revenue split in the unit. Pull the order, read Exhibit A, and confirm your owner was named and how that owner elected or defaulted.
Unknown and unlocated heirs	An operator may pool unknown or unlocated heirs, but the Commission has to be satisfied that a sufficient search was made for the pooling to bind those interests. A thin search leaves a gap as to the missing owner. See James Energy Co. v. HCG Energy Corp., 1992 OK 117.
Read the election and the deadline	The order controls. Note the election period, the default option, and the payment window, and check whether the owner met the deadline, because a missed election changes what the owner receives.
Pooling does not cure bad title	A pooling order settles development and payment. It does not fix a broken chain of title or a missing conveyance. Curative still has to be worked separately.

This reference is prepared for use by landmen and title professionals as a working field tool. It is not legal advice and does not substitute for the advice of qualified Oklahoma oil and gas counsel. Pooling practice at the Corporation Commission turns on the facts of each application and on rules and case law that change over time, and contested matters should be handled by a licensed Oklahoma attorney. Statute and rule citations are to 52 O.S. § 87.1 and the Commission's Oil and Gas rules (OAC 165:5); verify against the current text and the specific pooling order.